

Ideation Phase
Define the Problem Statement

Date	10 July 2026
Team ID	
Project Name	Smart Lender – AI-Powered Loan Approval Prediction System
Maximum Marks	2 Marks

Customer Problem Statement Template

A well-articulated problem statement allows the team to find the ideal solution for the challenges applicants and lenders face, and to empathize with how they perceive the loan process.

#	I am (Customer)	I'm trying to	But	Because	Which makes me feel
PS-1	A loan applicant	Get my loan approved quickly	the process is slow and unclear	the bank relies on manual, paper-based checks	frustrated and anxious
PS-2	A bank / lending institution	Approve genuine applicants efficiently	there are too many inconsistent approvals or rejections	the current system lacks automation and predictive accuracy	concerned about risk and applicant dissatisfaction

Final Problem Statement

Manual loan approval processes are slow, inconsistent, and error-prone. Smart Lender AI addresses this by using a trained Machine Learning model (KNN, 84.55% accuracy) to predict Loan_Status from applicant details such as income, credit history and property area, and by presenting the result with an eligibility percentage, confidence score, risk level, reasons and recommendations through a Flask web application.